

Table 7.8 Performance and Failures Over Time for Bull Markets

Description	Bull Market
1990s	42%
2000s	51%
2010s	45%
Performance (above), Failures (below)	
1990s	8%
2000s	8%
2010s	11%

Performance over time. The 2000s were the outstanding decade for performance with gains averaging 51%. The worst performance came in the 1990s with the 2010s nestled comfortably between those two.

Failures over time. I would expect to see low failure rates in the 2000s because that was the best performing decade, and yet the table shows it's tied at 8% with the 1990s. The 2010s showed a slight uptick in failures. The failures I'm reporting on, by the way, are 5% failures. They count how many big Ws fail to see price rise more than 5% after the breakout.

Table 7.9 shows statistics related to busted patterns.

Busted patterns count. Big Ws rarely bust, as the table shows (compared to other patterns, which see busts in the 40% range). What does this mean? Up to 20% of the time, on average, price will fail to rise more than 10% after the breakout before reversing and closing below the bottom of the big W. So if you want to make a lot of money, then one in five trades won't exceed 10% profit, on average, and that's if you trade it perfectly.

Busted occurrence. For those patterns that busted, I sorted them into one of three bins: single, double, and three or more busts (triple+). The table shows single busts happening most often followed by double and triple busts. In some other pattern types, we see triple busts coming in second place, so big Ws behave themselves.

Busted and non-busted performance. Compare the performance for all busted patterns (drops of 15% in bull markets) with the performance of big